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**AH Capital Management, LLC's Response to the Request for Information
on the Development of an Artificial Intelligence (AI) Action Plan¹**

AH Capital Management, LLC (“Andreessen Horowitz” and “a16z”) appreciates the opportunity to provide comments in response to the Request for Information on the Development of an Artificial Intelligence (AI) Action Plan submitted by the National Science Foundation in support of the Networking and Information Technology Research and Development National Coordination Office (the “RFI”).² Andreessen Horowitz was one of the earliest investors in artificial intelligence companies and innovations, and today has over \$45 billion in committed capital.³ We manage pooled vehicles which hold investments in more than 100 AI development firms, including as a leading investor in startups and open-source AI developers. As both an early investor in AI and one of the largest investment advisors today, a16z is well-positioned to understand the potential impact and importance of a National AI Action Plan (the “Plan”) that fosters American AI competitiveness, and we welcome the opportunity to contribute to this vital discussion.

¹ This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

² 90 Fed. Reg. 9088 (Feb. 6, 2025).

³ For more detail on our involvement in AI, please see “AI + a16z” on our firm’s website at <https://a16z.com/ai>.

I. Introduction

Artificial intelligence has the potential to improve our world. Recent AI advancements will allow AI to produce measurable social and economic benefits for humanity.⁴ For example, AI has the potential to help doctors and scientists create new medicines and treatments to improve health outcomes; to improve our transportation infrastructure; to expand our communication capabilities; and to change how we work and educate our children. In short, AI can improve the human experience.⁵

Today, the United States leads the world in AI.⁶ The foundation of this leadership position comes not only from large tech platforms, but also from Little Tech. As we have written, “the vanguard of American technology supremacy has always been the startup. From Edison and Ford to Hughes and Lockheed to SpaceX and Tesla, the path to greatness starts in a garage.”⁷ American startups have always been a principal driver of American competitiveness,⁸ and they already have played an important role in AI: more than 5,000 AI startups have been funded between 2013-2023, and Little Tech has the potential to continue serving as a cornerstone of

⁴ See generally, e.g., Marc Andreessen, *Why AI Will Save the World*, Andreessen Horowitz (June 6, 2023), available at <https://a16z.com/ai-will-save-the-world>.

⁵ *Id.*

⁶ Alexi Mostrous, Joe White & Serena Cesareo, *The Global Artificial Intelligence Index 2024*, Tortoise Media (Sept. 19, 2024), available at <https://www.tortoisemedia.com/2024/09/18/the-global-artificial-intelligence-index-2024>; see also Bipartisan House Task Force, *Report on Artificial Intelligence* at v, 118th Congress (Dec. 2024) (highlighting the United States as a global leader in “AI research, the number of AI companies, private sector AI investment, and industry adoption of AI” and attributing this leadership to “two of our longstanding strengths: we have cultivated a thriving innovation ecosystem and a flexible sectoral regulatory framework”), available at <https://www.speaker.gov/wp-content/uploads/2024/12/AI-Task-Force-Report-FINAL.pdf>.

⁷ Marc Andreessen & Ben Horowitz, *The Little Tech Agenda*, Andreessen Horowitz (Jul. 5, 2024), available at <https://a16z.com/the-little-tech-agenda>.

⁸ See, e.g., JF Gauthier & Christopher Haley, *Unlocking economic growth: The first global ranking of startup policies*, World Economic Forum (Feb. 3, 2025) (setting out that US startups account for 14% of GDP, leading G20 nations), available at <https://www.weforum.org/stories/2025/02/first-startup-policy-ranking-supports-economic-growth>.

American AI.⁹ Little Tech can continue to play an important role in fostering American leadership in AI, but only if the regulatory environment does not tilt the playing field in favor of large platforms. It therefore is imperative that the National AI Action Plan enable Little Tech to compete with larger platforms with more resources and deeper pockets, to ensure that the United States continues its leadership in AI.¹⁰

In consideration of the vital role Little Tech plays in the American AI landscape, we propose that the National AI Action Plan:

- Promote American competitiveness in AI, including by establishing the federal government's leadership role in regulating the AI model market;
- Adopt a position of regulating harm rather than models; and
- Strengthen American competitiveness by investing in AI infrastructure and talent.

II. The National AI Action Plan should promote American competitiveness in AI, including by establishing the federal government's leadership role in regulating the AI model market.

A. Promote American competitiveness in AI.

In January, President Trump declared in an Executive Order that “[i]t is the policy of the United States to sustain and enhance America’s global and AI dominance in order to promote human flourishing, economic competitiveness, and national security.”¹¹ This policy position should take center stage in each aspect of the National AI Action Plan.

⁹ See Marcus Lu, *Mapped: The Number of AI Startups By Country*, Visual Capitalist (May 6, 2024) (setting out that there were 5,509 newly-funded AI startups in the United States from 2013-2023), *available at* <https://www.visualcapitalist.com/mapped-the-number-of-ai-startups-by-country>.

¹⁰ See generally Ben Horowitz *et al.*, *AI For Startups*, Andreessen Horowitz (Nov. 1, 2024) (setting out the importance of startups in the AI economy in a joint piece with Microsoft), *available at* <https://a16z.com/ai-for-startups>.

¹¹ Removing Barriers to American Leadership in Artificial Intelligence, Exec. Order. No. 14179, 90 Fed. Reg. 8741 (Jan. 23, 2025).

Failing to establish a national AI policy that advances American competitiveness ultimately may slow American AI development such that foreign countries—including countries of concern—could supplant the United States as the AI gold standard. In early 2025, this competitive threat became even more evident, with Chinese startup DeepSeek and Chinese tech giant Alibaba releasing AI models with capabilities that rival Silicon Valley giants.¹² Chinese tech companies have expanded their offices in Silicon Valley, working to hire top US talent,¹³ and Chinese companies continue to expand their footprint in chip manufacturing, cloud services, computing power, and networking products.¹⁴ Quite simply, other nations are catching up, and this may have profound implications: will the United States build the leading AI tools of the future, or will China?

B. Emphasize the leadership role of the federal government in regulating the AI model market while leaving room for states to police conduct within their borders.

¹² See, e.g., Kevin Roose, *Why DeepSeek Could Change What Silicon Valley Believes About AI*, New York Times (Jan. 28, 2025), available at <https://www.nytimes.com/2025/01/28/technology/china-deepseek-ai-silicon-valley.html>; John Liu, *Alibaba Launches DeepSeek Rival, Sending Stock Surging*, CNN (Mar. 6, 2025), available at <https://www.cnn.com/2025/03/06/tech/china-alibaba-ai-model-deepseek-hnk-intl/index.html>; see also Alex Rampell, *Why DeepSeek Is a Gift to the American People*, The Free Press (Jan. 28, 2025) (highlighting the success of DeepSeek while reinforcing that the “regulatory regime in the U.S. [], unlike China’s, appreciates entrepreneurship”), available at <https://www.thefp.com/p/why-deepseek-is-a-gift-to-the-american>.

¹³ Eleanor Olcott, *Chinese Tech Groups Build AI Teams in Silicon Valley*, Financial Times (Nov. 18, 2024), available at <https://www.ft.com/content/da8c29b0-0a90-4d2a-8535-c8459ccc7bb4>.

¹⁴ See Evelyn Cheng, *Nvidia Warns of Growing Competition from China’s Huawei, Despite U.S. Sanctions*, CNBC (Feb. 27, 2025), available at <https://www.cnbc.com/2025/02/27/nvidia-warns-of-competition-from-china-huawei-despite-us-sanctions.html>; see also Nvidia Corp., Form 10-K for Fiscal Year Ended January 26, 2025, S.E.C. (2025), available at <https://d18rn0p25nwr6d.cloudfront.net/CIK-0001045810/177440d5-3b32-4185-8cc8-95500a9dc783.pdf> (highlighting Huawei as a top competitor in areas critical to AI infrastructure and solutions).

AI model development is an issue of national concern that should be regulated on a national level.¹⁵ It is critical to American national security, geopolitical objectives, and the nation's economic and social welfare.¹⁶ Given that the AI model market is national in scope and directly implicates interstate commerce, the federal government should take the lead in its promotion and regulation to provide uniformity and certainty for US model developers. In the last two years, the regulatory landscape for AI developers has shifted away from uniformity and toward an increasingly onerous patchwork of state-specific regulations. This patchwork creates compliance burdens that hinder advancement in model development.

Because the AI development market is inherently a national one with potential significant impacts in commerce, national security, and foreign relations, the federal government is best-positioned to regulate this market. The Administration, therefore, should work with Congress to pass legislation that creates a national AI model market and preempts state-specific restrictions on model development and legislation that promotes access to AI infrastructure, data, and talent.

Of course, states also have a vital role to play.¹⁷ States possess the power to regulate against harms committed within their borders and against their citizens, a role they are well-suited to play because of their understanding of the needs of the communities they serve.¹⁸ States also traditionally have served as policy laboratories for exploring different approaches to regulating conduct within their borders, teeing up different approaches from which other lawmakers can draw from. Furthermore, the federal and state governments serve a joint role in criminal and civil law enforcement, including consumer protection.

¹⁵ See also Matt Perault, *Setting the Agenda for Global AI Leadership: Assessing the Roles of Congress and the States*, Andreessen Horowitz (Feb. 4, 2025), available at <https://a16z.com/setting-the-agenda-for-global-ai-leadership-assessing-the-roles-of-congress-and-the-states/> (advocating for a national approach to AI policy while leaving room for states to enforce existing laws and serve as laboratories of experimentation).

¹⁶ *Id.*

¹⁷ See generally, *id.*

¹⁸ See generally Section III.A, *infra*.

III. The National AI Action Plan should adopt a position of regulating harms rather than models.

Much of the policy conversation around AI regulation, both in the United States and Europe, has focused on potential harms. But concerns about the harmful misuse of a tool are not unique to AI: a hammer may be used to build a house or to hurt someone. When a person uses a hammer for harm, they violate the law and are subject to punishment. However, this possibility of misuse does not mean that manufacturers are required to conduct detailed impact assessments before they make a hammer, or that they are required to replace metal with rubber to ensure that their hammers are softer. Such requirements would make the market less competitive and reduce the utility of the product.

A similar approach in AI regulation would have similar consequences. Although certain uses of AI may pose a risk of harm to consumers and individuals, such concerns counsel in favor of punishing those who cause such harms rather than preemptively burdening developers with onerous requirements designed to prevent myriad “what if” scenarios that may never come to fruition.

Restrictions on AI model development make it harder to build AI models, and because they typically impose significant compliance burdens that are harder for smaller companies to navigate, they make it harder for Little Tech to compete with larger platforms. Development-oriented regulation in Europe stands as a cautionary tale, where stringent AI and privacy laws have posed challenges for companies developing or deploying AI in Europe.¹⁹

Because of the challenges and burdens associated with regulating model development, governments similarly should not require developers to make broad, subjective disclosures. Any obligations to disclose information about AI models should be limited. The Supreme Court has held that the government may enact disclosure obligations only where they impose a minimal

¹⁹ After DeepSeek, America and the EU Are Getting AI Wrong, The Economist (Feb. 12, 2025), available at <https://www.economist.com/leaders/2025/02/12/after-deepseek-america-and-the-eu-are-getting-ai-wrong>.

burden on businesses and require disclosure only of objective, factual information.²⁰ These constitutional requirements are important for Little Tech, since smaller companies may struggle more than their larger competitors to comply with disclosure requirements and are unlikely to have the same resources to litigate these issues than more established companies.

Furthermore, the Ninth Circuit held in two recent cases that California could not compel (a) online providers to prepare reports opining on the risk that children could be harmed by their use of the provider's services, including the risk that they would come across harmful content on the site;²¹ or (b) social media services to prepare content moderation reports defining hate speech, misinformation, and other categories along with information about how often the service takes such content down.²² In both cases, the Ninth Circuit reasoned that the compelled disclosures went beyond purely factual information, were not commercial speech in the sense of proposing a transaction, and forced regulated parties to speak subjective opinions on highly contentious issues of public policy.²³ Transparency or disclosure obligations, therefore, should require only factual information about the model and developer such that it provides objective information to consumers.

The National AI Action Plan should adopt a similar approach regarding AI-created harms: do prohibit the harms and punish the bad actors, but do not require developers to jump through onerous regulatory hoops based on speculative fear.²⁴

²⁰ See *Zauderer v. Off. of Disciplinary Counsel*, 471 U.S. 626, 651 (1985) ("We recognize that unjustified or unduly burdensome disclosure requirements might offend the First Amendment by chilling protected commercial speech."); accord *Milavetz v. U.S.*, 559 U.S. 229, 249-50 (2010) (setting out that companies have a minimal First Amendment interest in refusing to provide "required factual information[.]" but "[u]njustified or unduly burdensome disclosure requirements offend the First Amendment by chilling protected speech....").

²¹ *NetChoice v. Bonta*, 113 F.4th 1101 (9th Cir. 2024).

²² *X Corp. v. Bonta*, 116 F.4th 888 (9th Cir. 2024).

²³ See *NetChoice*, 113 F.4th at 1115-22; *X Corp.*, 116 F.4th at 898-903.

²⁴ See Matt Perault, *Regulate AI Use, Not AI Development*, Andreessen Horowitz (Jan. 27, 2025), available at <https://a16z.com/regulate-ai-use-not-ai-development/> ("Policymakers will be more successful in protecting consumers if they follow historic principles of technology regulation. To ensure that the technology can achieve its potential and that Little Tech can compete with larger platforms, policy should focus on how AI is used, not how AI is built.").

A. Protect individuals by enforcing existing laws and focusing on harms.

Burdening AI development rather than punishing AI misuse not only cripples competition, but it also fails to protect people from situations where AI is deployed in a way that causes harm. As we recently explained, “Creating complex compliance regimes based on the math that an engineer uses to build an AI model will make it harder for Little Tech to build new AI models, but will not change whether a criminal is held liable when they use AI to commit fraud, to violate a person’s civil rights, or to share intimate imagery without consent.”²⁵ The most effective approach to protecting consumers is to focus public policy on protecting consumers from AI misuse, rather than on regulating the development of AI models. Focusing on *use* aligns with the historical approach to technology regulation in the United States; “[n]o single law regulates how computers are built, for instance, but if a person uses a computer to commit a crime, or a company uses a computer to harm a consumer, then the perpetrator is held liable.”²⁶

Certain harms caused by AI misuse may violate laws and regulations already on the books. In such cases, existing enforcement mechanisms can and should be used against those who misused AI to break the law. Nothing in existing law prevents this enforcement approach: using AI is not a defense. Some states have issued guidance expressly reiterating that if something is illegal without the use of AI, it is still illegal when AI is used.²⁷ The federal government should take a similar approach, and the Department of Justice should issue guidance

²⁵ Matt Perault, *Regulate AI Use, Not AI Development*, note 17, *supra*.

²⁶ *Id.*

²⁷ See, e.g., *Attorney General Advisory on the Application of the Commonwealth’s Consumer Protection, Civil Rights, and Data Privacy Laws to Artificial Intelligence*, Mass. Office of the Att’y Gen. (Apr. 16, 2024), available at <https://www.mass.gov/doc/ago-ai-advisory-41624/download>; *Guidance from Attorney General Ellen Rosenblum: What you should know about how Oregon’s laws may affect your company’s use of Artificial Intelligence*, Or. Dep’t. of Justice (Dec. 24, 2024), available at <https://www.doj.state.or.us/wp-content/uploads/2024/12/AI-Guidance-12-24-24.pdf>; *Guidance on Algorithmic Discrimination and the New Jersey Law Against Discrimination*, N.J. Office of the Att’y Gen. (Jan. 2025), available at https://www.nj.gov/oag/newsreleases25/2025-0108_DCR-Guidance-on-Algorithmic-Discrimination.pdf. Each of these highlight the application of existing consumer protection and unfair trade practices, consumer privacy, and/or anti-discrimination laws to use of AI systems.

setting out this key tenet of criminal and civil law enforcement, demonstrating that new, AI-specific prohibitions are largely unnecessary. There may be cases, however, in which AI may pose incremental risks of harm. In these instances, any new laws and regulations should target evidence-based gaps in existing law, continuing to focus on harms rather than setting restrictions at the model level.²⁸

B. Clarify the proper relationship between copyright law and model development.

Access to training data is now the most important factor in determining global AI leadership. As open-source models proliferate and AI inference is being commoditized, the true differentiator between AI developers will be the degree to which they can leverage large volumes of data to provide the most accurate and complete model training. But, in the United States, legacy media companies, among others, are waging war against using their data for AI training, advancing misguided arguments that this infringes their copyrights.²⁹ Andreessen Horowitz stands with creators in ensuring their works are protected, but such an aggressive interpretation of copyright law places US developers at a significant disadvantage over those from countries with different views of IP protections, such as China.³⁰ In addressing the pivotal need for training data and to help developers avoid needless legal challenges to necessary model training—challenges that would have a disproportionate impact if brought against Little Tech—the federal government should take several steps to clarify that existing copyright law protects the ability of developers to train models even using copyrighted works.

²⁸ Rishi Bommasani *et al.*, *A Path for Science- and Evidence-based AI Policy* (“[W]e firmly believe AI policy should be informed by scientific understanding of AI risks and how to successfully mitigate them. [...] Advancing significant legislation without clear understanding of risks it intends to address may lead to more negative consequences than positive outcomes.”) (open letter), available at <https://understanding-ai-safety.org>.

²⁹ See, e.g., Bobby Allyn, *‘The New York Times’ takes OpenAI to court.*, NPR (Jan. 14, 2025), available at <https://www.npr.org/2025/01/14/nx-s1-5258952/new-york-times-openai-microsoft>.

³⁰ See, e.g., Daniel Tencer, *Is DeepSeek Training its AI on Copyrighted Music Without Permission?*, Music Business Worldwide (Feb. 17, 2025), available at <https://www.musicbusinessworldwide.com/is-deepseek-training-its-ai-on-copyrighted-music-without-permission>.

First, neither the Copyright Office nor any other government agency should release guidance related to this issue—or other issues critical to American competitiveness in AI—until the conclusion of the National AI Action Plan process.³¹ Any rulemaking, report, guidance, or policy statement that was prepared by prior administration appointees is unlikely to reflect the current administration’s policy preferences. The current Administration should take time to study these issues while the development of the National AI Action Plan is in process, ensuring that ongoing agency activities are not in conflict with the overall goals of promoting AI development. And the Department of Justice should consider filing statements of interest in pending AI copyright litigation, explaining to the court that model training is fair use because it is transformative, uses no more data than necessary to train the models, and poses no risk to the market for the original work. These statements should also emphasize that any contrary holding would contravene US economic and national security interests.³²

IV. The National AI Action Plan should strengthen American competitiveness by investing in AI infrastructure and talent.

Promoting American competitiveness will require government investment in infrastructure and talent. As compared to traditional software, developing AI models is exceptionally resource intensive. While the largest technology companies can afford to invest in compute power, leverage their other products to collect training data, and attract and retain top talent, startups are likely to have fewer resources to devote to model development, and may be at a competitive disadvantage as a result.³³ To lower these barriers to AI model development, the National AI Action Plan should include government investment in reliable, affordable infrastructure. Furthermore, the federal government should invest in workforce development

³¹ See U.S. Copyright Office, *Artificial Intelligence Study* (noting that the final part of the Office’s Report on AI and copyright “will address the legal implications of training AI models on copyrighted works, licensing considerations, and the allocation of any potential liability”), available at <https://www.copyright.gov/policy/artificial-intelligence>.

³² See *Andy Warhol Found. v. Goldsmith*, 598 U.S. 508, 527 (2023) (setting out the fair use factors).

³³ Guido Appenzeller, Matt Bornstein, & Martin Casado, *Navigating the High Cost of AI Compute*, Andreessen Horowitz (Apr. 27, 2023), available at <https://a16z.com/navigating-the-high-cost-of-ai-compute/> (highlighting that “many companies spend more than 80% of their total capital raised on compute resources” and “access to compute resources—at the lowest total cost—has become a determining factor for the success of AI companies”).

initiatives in order to ensure that the best AI talent continues to be trained in the United States and work for American companies.

A. Support and provide direct access to AI infrastructure through a newly-created National AI Competitiveness Institute.

To expand access to computing power and make AI markets more competitive, the federal government can leverage its own data and infrastructure. In order to administer access to this technology and data, the National AI Action Plan should establish a National AI Competitiveness Institute (“NAICI”)—housed within the NIST— through which researchers, nonprofits, and startups may access infrastructure they need, including compute, data, benchmark and evaluation resources. For Little Tech, the NAICI will help to level the playing field, making it easier to compete with larger platforms in building and testing AI models.

Barriers to entry may further be reduced by expanding access to public data for NAICI participants. As part of the National AI Action Plan, the government can take steps to develop and implement a national “AI-Ready Data Initiative” through which the NAICI could provide its participants with access to standardized datasets (based on research data already held by the federal government) and purpose-built synthetic datasets. To advance this idea, the government may require future grant award recipients to make available through the NAICI data or research papers they generated as part of the funded research.

These resources might not be exclusively cloud-based or headquartered in Washington, but could also include regional, on-premise options as well. Regional AI hubs could provide startups with access to high-performance computing without requiring massive capital investment.³⁴ These facilities can be distributed strategically to support AI development across different regions of the country, ensuring innovation is not confined to traditional tech centers.

³⁴ Kevin Frazier, *Your Town Needs AI Experts, Not Just More GPUs*, Lawfare (Mar. 4, 2025) (setting out proposals for regional AI hubs), available at <https://www.lawfaremedia.org/article/your-town-needs-ai-experts--not-just-more-gpus>.

This is analogous to the approach taken in earlier eras of computing, for example, when the federal government established a National Center for Supercomputing Applications at University of Illinois Urbana-Champaign,³⁵ which resulted in the development of the first web browser.³⁶

In addition to providing infrastructure directly, the government should work to expand access to commercial services through public-private partnerships. Although the marketplace for computing power is still in early stages of development,³⁷ the market has an increasing array of commercial services that offer cloud computing or other infrastructure access as a way for companies to outsource their compute power.³⁸ Access to these commercial services can be supported directly, such as through cloud computing vouchers or grants, and by incentivizing public-private partnerships, including through preferential procurement terms for cloud providers offering startup discounts, tax benefits tied to startup support programs, and making startup access a condition for participation in major government AI initiatives.

Finally, Little Tech will require access to affordable energy to maintain its ability to compete in the AI-driven economy. By 2028, up to 12% of US electricity will be consumed by the AI industry.³⁹ To ensure that America's energy infrastructure can provide startups with the energy they need to be competitive with larger developers in the United States and with developers in China, the Council on Environmental Quality should issue regulations that allow for a substantial buildout of the US power grid. With countries like China, Japan, and Saudi

³⁵ For more information on the NCSA, please see its homepage at <https://www.ncsa.illinois.edu>.

³⁶ See NCSA, NCSA Mosaic, Univ. of Ill. Urbana-Champaign, available at <https://www.ncsa.illinois.edu/research/project-highlights/ncsa-mosaic>.

³⁷ Alexander Osipovich, *AI Needs a Lot of Computing Power: Is a Market for 'Compute' the Next Big Thing?* Wall St. J. (Jan. 29, 2025), available at <https://www.wsj.com/tech/ai/ai-needs-a-lot-of-computing-power-is-a-market-for-compute-the-next-big-thing-2302133c>.

³⁸ Juan Pablo Perex, *The AI Boom Is Giving Rise to "GPU-as-a-Service": The Industry Harvests Idle Compute for AI Startups That Need It*, IEEE Spectrum (Jan. 20, 2025), available at <https://spectrum.ieee.org/gpu-as-a-service>.

³⁹ Dep't of Energy, *DOE Releases New Report Evaluating Increase in Electricity Demand from Data Centers*, Press Release (Dec. 20, 2024), available at <https://www.energy.gov/articles/doe-releases-new-report-evaluating-increase-electricity-demand-data-centers#:~:text=The%20report%20finds%20that%20data,total%20U.S.%20electricity%20by%202028>.

Arabia racing to build out their own AI infrastructure, it is important that America's energy investment—and public policy enabling that investment—keeps pace.

B. Help to establish robust talent pipelines, including by strengthening education and by ensuring access to top talent from around the world.

The National AI Action Plan should set policies to help ensure that US AI companies of all sizes can continue to be able to attract and leverage the best talent. To do so, the government should support workforce development initiatives that align education and training with industry needs. In particular, federal support should focus on improving foundational STEM education as well as expanding opportunities for education in advanced AI specializations and graduate research programs. The United States has been a leader in providing world-class education and post-graduate opportunities in technology—including through research fellowships, residency programs, and government research positions. Expanding and supporting these programs, while also ensuring these researchers have access to AI infrastructure and data to support their work, will help efforts to ensure a robust pipeline of talent to support this specialization.

In addition to improving education and related research opportunities, it is important that the government work to create structured pathways into AI careers, whether by modernizing existing frameworks or adopting newer ones purpose built to enable AI workforce development. For example, Administration should support efforts to modernize the National Apprenticeship Act,⁴⁰ which established an apprenticeship system under which 94% of participants find post-completion employment,⁴¹ but wasn't designed for emerging fields like AI and computing. Additionally, the government should establish a public-private partnership through which Americans are trained in AI labeling—an essential task in model training—and partnering companies commit to hiring labelers who demonstrate proficiency throughout the program. China has invested in AI labelers, and it has provided Chinese AI companies a competitive

⁴⁰ Act of Aug. 16, 1937, ch. 663, 50 Stat. 664 (codified as amended at 29 U.S.C. § 50).

⁴¹ ApprenticeshipUSA, *Explore Registered Apprenticeship*, U.S. Dep't of Labor (updated April, 2024), available at <https://www.apprenticeship.gov/sites/default/files/DOLIndFSApprent101-043024-508.pdf>.

advantage.⁴² Longer term, basic AI literacy should become part of public education and extend to adult learners and working professionals, increasing overall AI awareness and creating a baseline of knowledge that may be supplemented with more specialized training.

C. Continue support for open-source models.

One of the ways the federal government can promote model development is to signal their continued support for open-source models. Open-source models provide important benefits, including (a) reducing barriers to entry and promoting innovation; (b) increasing competition; and (c) providing transparency into how models are developed. Open-source models increase the opportunities for startups to compete. In its *Report on Dual-Use Foundation Models with Widely Available Model Weights*, the NTIA highlighted the benefits of open-source foundation models, including that they “diversify and expand the array of actors, including less resourced actors, that participate in AI research and development. They decentralize AI market control from a few large AI developers. And they enable users to leverage models without sharing data with third parties, increasing confidentiality and data protection.”⁴³

V. **Conclusion.**

American technology innovation and leadership has long been led from the bottom up, with startups and entrepreneurs blazing the technological trail for the world to follow, and advancements in AI are no different. By adopting a policy agenda that promotes American

⁴² See, e.g., Jeanna Whalen, *Hottest job in China’s hinterlands: Teaching AI to tell a truck from a turtle*, Washington Post (Sept. 26, 2019), available at

<https://www.washingtonpost.com/business/2019/09/26/hottest-job-chinas-hinterlands-teaching-ai-tell-truck-turtle>.

⁴³ Nat’l Telecomms. and Info. Admin., *Dual-Use Foundation Models with Widely Available Model Weights Report* (Jul. 30, 2024), available at

<https://www.ntia.gov/programs-and-initiatives/artificial-intelligence/open-model-weights-report>; see also Bipartisan House Task Force, *Report on Artificial Intelligence*, p. 160 (concluding that open-source AI models “encourage innovation and competition” and highlighting that “[m]any of the most important discoveries in AI were made possible by open-source and open science.”).

innovation and competitiveness, the federal government can help ensure that the United States retains its place as the global AI leader and that Little Tech continues to have a seat at the table: “The future isn’t just about algorithms—it’s about the policies and culture that enable them to thrive.”⁴⁴

We urge the Office of Science and Technology Policy to set out a National AI Action Plan that enables Little Tech to thrive by promoting competitiveness, regulating harms rather than models, and investing in AI infrastructure and talent.

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⁴⁴ Rampell, *Why DeepSeek Is a Gift to the American People*, note 12, *supra*.